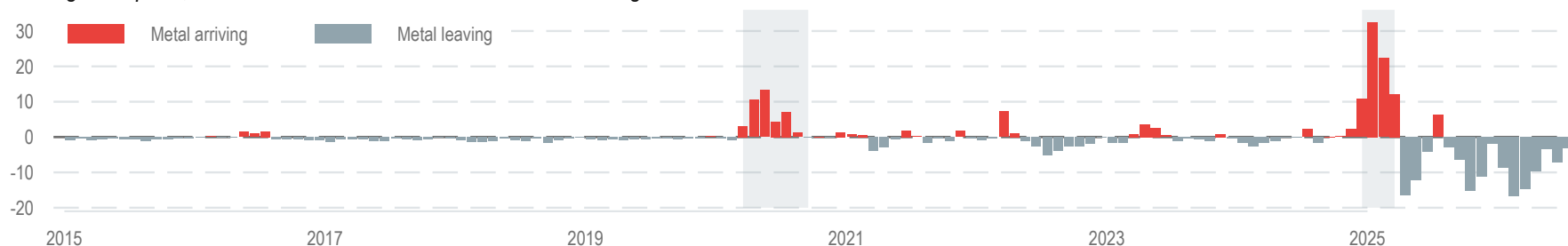


The metal round-tripped in eleven months. The mismeasurement it caused has not reversed at all

What the 2020 and 2025 gold episodes cost, once the things that corrected themselves are set aside

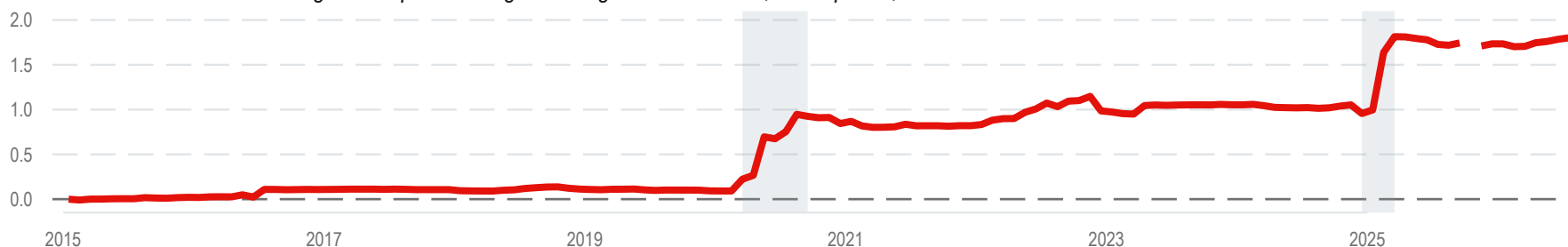
a. The distortion: large, two-sided, and it netted out

Net US gold imports, \$bn a month. Shaded: the 2020 and 2025 surges



b. What it left behind: small, one-sided, still running

Cumulative overstatement of real goods imports from gold's weight in the deflator, index points, Jan 2015 = 0



Most of the candidate consequences of these episodes do not survive examination, and the figure is drawn to say so. Trade statistics: BEA removes nonmonetary gold from the national accounts outright, and the resulting ITA-NIPA wedge is a documented feature, not a defect. Real resources: freight, insurance, recasting and transit financing came to roughly \$243 million, about 0.14% of the value shuttled - the episode was cheap. The nowcast: GDPNow fell 3.80pp on 28 February 2025, the largest single-day revision outside the pandemic quarters, and the Atlanta Fed introduced a gold-adjusted model on 30 April 2025. Each of those either reversed or was repaired.

What did not is the deflator. Cumulative net gold imports ran to \$80.0bn by March 2025 and were back through zero eleven months later, standing at -\$47.6bn by mid-2026 - more metal left than arrived. The drift in panel b has given nothing back. The reason is a timing mismatch that is structural rather than accidental: BLS reweights its price indexes from Census annual trade on a TWO-YEAR LAG, so the 2025 gold share does not reach the index weights until 2027, a year after the metal left, and the weight that finally arrives is wrong in the opposite direction. The correction cycle is slower than the phenomenon it corrects for.

That is the case for treating this as a measurement problem rather than a gold problem. The metal's distortion was large but temporary. The defect in the rule that failed to track it is small but permanent - and it will meet the next volatile component in exactly the same way.

Source: US Census Bureau; Bureau of Labor Statistics (EIUIR, EIUIR14270); Bureau of Economic Analysis; Federal Reserve Bank of Atlanta.